

MULTIMEDIA



UNIVERSITY

STUDENT ID NO

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MULTIMEDIA UNIVERSITY

FINAL EXAMINATION

TRIMESTER OCTOBER/NOVEMBER 2025 (TERM ID 2530)

BVX6313 – BUSINESS PLANNING TAXATION

(All Sections / Groups)

23 FEBRUARY 2026

9.00 a.m. to 12.00 p.m.

(3 Hours)

INSTRUCTIONS TO STUDENTS

1. This Question paper consists of 10 pages excluding the cover page with **THREE (3)** Questions only.
2. Attempt **ALL** questions. The distribution of the marks for each question is given.
3. Please write all your answers in the Answer Booklet provided.
4. All questions must be answered in English.

All questions are based on the Income Tax Act 1967 (as amended), Real Property Gains Tax Act 1976 (as amended), Sales & Service Tax Act 2018, Stamp Act 1949 (as amended) and legislations passed up to the year 2024.

QUESTION 1

Maju Modular Sdn. Bhd. (MMSB) is a Malaysian-resident company specialising in the fabrication of modular building systems. MMSB commenced its operation in 2010 and in 2025 its paid-up capital is RM2.76 million. MMSB closes its accounts on 31 December annually. For the financial year ended 31 December 2025, the draft profit before tax is RM7,920,000, *after* accounting for the following items in **Item 1**:

Item 1: Adjustments and Notes

1. Depreciation on the Property, Plant and Equipment amounting to RM1,380,000.
2. Unrealised foreign exchange loss of RM420,000 when MMSB purchased raw materials from its supplier in America.
3. Realised foreign exchange gain of RM210,000 for the settlement of trade debts.
4. Legal fees amounting to RM180,000 comprised of RM120,000 for drafting new supply contracts and RM60,000 for defending a penalty imposed by Royal Malaysian Customs Department (RMCD).
5. Staff training incurred for RM480,000, including RM200,000 HRDC (a government agency) approved programme.
6. RM100,000 paid to a construction firm for renovating office building.
7. Other income of RM460,000 comprised of: RM180,000 rental income received for equipment rented to an unrelated company in Malaysia; RM95,000 from cancellation of a contract from one of MMSB's suppliers; and RM185,000 interest income from an investment in Australia. The full amount of the interest was remitted to Malaysia in January 2026.

Item 2: Capital Allowances

- Capital allowances for the year of assessment (YA) 2025 is RM1,220,000.
- New passenger car acquired in 2025 for RM240,000 for the use of MMSB's managing director.
- Disposal of old machinery in 2025 for RM130,000. Residual expenditure for YA 2024 is RM310,000

Item 3: Acquisition of assets

In January 2026, MMSB plans to acquire automated steel-forming equipment (heavy machine) costing RM3,000,000. The estimated adjusted income of MMSB for YA 2026 is RM10,000,000. Two financing options covering January 2026 to December 2026 are offered:

Option A: Lease

- Annual lease rental: RM780,000

Continued...

- Interest element: RM480,000 per year

Option B: Hire Purchase (HP)

- Deposit: RM600,000
- Annual HP instalments: RM700,000 (without interest)
- Total interest: RM400,000 per year

Item 4: Sales Tax

MMSB is a registered manufacturer. Its new line of “Smart-Lite Panels” is not exempted under the Sales Tax (Goods Exempted) Order.

The followings are transactions of sales and purchases for 2025:

- Local sales of Smart-Lite Panels of RM980,000 (invoice date: 21 May 2025).
- Exports to Philippines of RM2,400,000 (invoice date: 1 July 2025).
- Purchase of raw materials from registered manufacturers for RM2,200,000 (invoice date: 13 July 2025).
- Import of aluminium components from China amounting to RM450,000 (custom clearance date: 2 September 2025).

Sales tax and import duty are 10% and 30% respectively.

Required:

- Explain the appropriate tax treatment for the Adjustments and Notes 1 to 7 in Item 1.
(10 marks)
- Compute the capital allowances, and balancing allowance/charge (if any) in Item 2.
(5 marks)
- Compute the income tax payable of MMSB for YA 2025 by using the tax rate of 24%. You need to consider Item 1 and Item 2 while making your computation.
(8 marks)
- Recommend the best option for the acquisition of the asset under a lease or hire purchase in Item 3 that provides the lowest after-tax cost, with supporting calculations.
(6 marks)
- Determine the tax treatment of transactions in Item 4. Show workings to support your answers.
(6 marks)

Note: Assuming that the tax treatment in YA 2025 is similar to YA 2024 while answering Question 1.

Continued...

[Total: 35 marks]**QUESTION 2**

Adrian Salleh, a tax-resident in Malaysia operates two sole proprietorships, each registered separately with Companies Commission of Malaysia and using separate bank accounts.

1. AS Training Consultancy (ATC) provides corporate training services such as leadership workshops, customer service programmes and public speaking coaching.
2. AS Digital Media Solutions (ADMS) provides social media management, advertisement content creation and data analytics reporting.

Issue 1:

He manages businesses personally, although ATC and ADMS operate independently. From an income tax perspective, Adrian is unsure whether he should treat service business ATC and ADMS as the same business or as separate businesses. Financial results for the year of assessment (YA) 2025 as follows:

	ATC (RM)	ADMS (RM)
Revenue	980,000	1,240,000
Cost of sales	(560,000)	(420,000)
Operating expenses	(330,000)	(210,000)
Administrative expenses	(150,000)	(150,000)
Capital allowances	(180,000)	(100,000)

Issue 2:

In April 2025, Adrian (through ATC) purchased a 3-storey shop-office building for business use. Purchase details:

- Property price: RM2,300,000
- Sales and Purchase Agreement signed: 9 April 2025 (10% deposit was paid)
- Balance paid: 1 June 2025 financed by bank loan.
- Transfer registered: 18 June 2025

Issue 3:**Continued...**

Adrian plans to dispose of ADMS's furniture in 2026 because it is no longer suitable for the business. The furniture which costs RM80,000, was acquired in 2025. The disposal is expected to generate RM65,000 in cash.

Issue 4:

Adrian was informed by ATC's Finance Manager that the business loss of RM25,000 incurred during ATC's first year of operation has not been utilised for tax purposes. ATC commenced operations in January 2019.

Issue 5:

Adrian has been operating as a sole trader for several years. His business profits are increasing, and he is considering whether he should incorporate a company as Sdn. Bhd. (Pte. Ltd.) in YA 2026.

Required:

- a) Advise Adrian on whether he should treat ATC and ADMS as a single source or separate source of business income (Issue 1). Provide workings for chargeable income to support your answers. (12 marks)
- b) Determine the stamp duty for the acquisition of the shop-office building in 2025 (Issue 2). (6 marks)
- c) Advise Adrian whether he should dispose of the furniture in 2026 (Issue 3). Provide workings to support your answer. (6 marks)
- d) Determine whether the business loss from ATC's YA 2019 can still be utilised in YA 2026 (Issue 4). (5 marks)
- e) Explain THREE (3) tax-related factors Adrian should consider when deciding whether to remain a sole trader or incorporate a company (Issue 5). (6 marks)

Note: Assuming that the tax treatment in YA 2025 is similar to YA 2024 while answering Question 2.

[Total: 35 marks]

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QUESTION 3**Background information:**

Daniel Lee is a new client of your firm, Paragon Firm. Your manager assigned you to handle a tax matter of Daniel Lee. Daniel (age 47) is a Malaysian citizen. He married Angel (age 45) in 2010. They have two children (ages 10 and 13). Daniel was a tax-resident in Malaysia from 2010 until 2024.

Daniel works as a senior project director for TechBuild Sdn. Bhd. On 1 February 2025, he was seconded to Singapore for a 18-month infrastructure project. He continues to receive his salary from TechBuild Sdn. Bhd. during the secondment. Daniel's periods of stay in Malaysia are as follows:

- 1 January – 31 January 2025: In Malaysia
- 1 February – 30 June 2025: In Singapore
- 1 July – 31 August 2025: Back in Malaysia (paid leave)
- 1 September – 31 December 2025: In Singapore

For the year of assessment (YA) 2025, Daniel received the following from TechBuild Sdn. Bhd.:

Item	Amount (RM)	Notes
Basic salary	420,000	Salary from January until December 2025
Employer-provided furnished apartment in Singapore	80,000	Provided from 1 January 2025 – 31 December 2025
Utility reimbursement	10,000	Electricity & water for Singapore apartment
Travel allowance	22,000	Actual travel expenses for business amounted to RM11,000

Other information for Daniel in 2025 as follows:

- Employees' Provident Fund (EPF) contribution of RM24,000.
- Employer EPF contribution of RM24,000.
- Life insurance premium paid by Daniel amounted to RM3,800.
- Laptop for his wife for RM5,300.
- School fees for children amounted to RM6,100.
- Medical expenses for serious disease for himself totalled RM5,000.
- SOCSO contribution totalled RM500.

Angel has not been employed since 2021 but she runs a home bake business. She stayed in Malaysia for the whole of 2025. For the year 2025, her business earned RM59,000 adjusted income.

In addition, Angel was appointed as an executor of her late father's estate under his will after the father died domiciled in Malaysia in 2023. The estate is still under administration. During 2025, Angel, still acting as the executor, carried out the following actions:

1. Collected rental income of RM28,000 from an estate property for 2025 (of which RM6,000 was retained for the property expenses, which includes quit rent & assessment and management fees).
2. Annuity payable is RM5,000.
3. Distributed RM30,000 capital proceeds to beneficiaries from shares sold in 2025.
4. Received bank interest of RM1,800 deposited directly into the estate bank account.

Additional factual note:

Although Angel is the executor, she also receives distributions as a beneficiary under her father's will amounted to RM10,000.

Required:

- a) Determine residence status of Daniel and Angel for YA 2025 by quoting the relevant section under Income Tax Act (ITA) 1967.
(4 marks)
- b) Determine whether or not Daniel's employment income received during his secondment and leave pay are taxable in Malaysia. No workings are needed.
(3 marks)
- c) Compute the statutory employment income of Daniel for YA2025.
(6 marks)
- d) Compute the chargeable income of the executor for YA 2025.
(3 marks)
- e) Explain to Daniel if he should elect for joint assessment or separate assessment with his wife. Assume under the separate assessment, Daniel will claim child reliefs. Assume Angel chooses to have joint assessment with Daniel. Provide workings of income tax payable to support your answers.
(12 marks)
- f) Explain to Daniel TWO (2) standards that you apply when giving advice on tax planning.
(2 marks)

Note: Assuming that the tax treatment in YA 2025 is similar to YA 2024 while answering Question 3.

[Total: 30 marks]

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APPENDIX**TAX RATES AND ALLOWANCES**

The following tax rates, allowances and values are to be used in answering the questions.

• **Income tax rates for resident individuals for the Year of Assessment (YA) 2024.**

Category	Chargeable Income	Calculations (RM)	Rate %	Tax(RM)
A	0 - 5,000	On the First 5,000	0	0
B	5,001 - 20,000	On the First 5,000 Next 15,000	1	0 150
C	20,001 - 35,000	On the First 20,000 Next 15,000	3	150 450
D	35,001 - 50,000	On the First 35,000 Next 15,000	6	600 900
E	50,001 - 70,000	On the First 50,000 Next 20,000	11	1,500 2,200
F	70,001 - 100,000	On the First 70,000 Next 30,000	19	3,700 5,700
G	100,001 - 400,000	On the First 100,000 Next 300,000	25	9,400 75,500
H	400,001 - 600,000	On the First 400,000 Next 200,000	26	84,400 52,000
I	600,001 - 2,000,000	On the First 600,000 Next 1,400,000	28	136,400 392,000
J	Exceeding 2,000,000	On the First 2,000,000 Next ringgit	30	528,400

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• **Reliefs for the Year of Assessment (YA) 2024.**

	RM
Personal relief	9,000
Disabled taxpayer (additional relief)	6,000
Spouse relief/payment of alimony	4,000
Disabled spouse relief (additional relief)	5,000
Medical expenses for parents	8,000
1. Medical expenses for serious diseases 2. Vaccination expenses for self, spouse and child. (Restricted to RM1,000) 3. Medical expenses for fertility treatment for self or spouse 4. Dental examination and treatment (Restricted RM1,000) 5. (i) Complete medical examination for self, spouse, child as defined by the Malaysian Medical Council (MMC). (ii) COVID-19 detection test including purchase of self-detection test kit for self, spouse, child. (iii) Mental health examination or consultation for self, spouse or child. [Restricted to RM1,000 for item 4(i)-(iii)]	10,000
Basic supporting equipment for disabled taxpayer, spouse, children, or parents	6,000
Child relief (below 18 years old)	
- Each	2,000
- Disabled	6,000
Child relief (over 18 years old and studying in higher learning institutions)	
- Each	8,000
- Disabled	14,000
Amount deposited into SSPN for child	8,000
Life insurance premium	3,000
EPF contributions	4,000
Premium on deferred annuity contract and private retirement scheme	3,000
Premium on medical/education insurance	3,000
Employee's contribution to SOCSO scheme	350
Education fees paid by taxpayer for his own self-improvement	7,000
Lifestyle expenses	2,500
Healthy lifestyle-purchase of sports equipment; rental or entrance fee to any sports facility; registration fee for any approved sports competition; Gymnasium membership fee / sports training	1,000
Breastfeeding equipment	1,000
Fees paid to childcare centre and kindergarten for a child aged 6 years and below	3,000

• **Rebates**

Rebates	RM
Chargeable income <= RM35,000	
Individual	400
Additional relief when wife/husband relief is claimed	400

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Benefits-in-kind (BIK) scale rates as per Inland Revenue Board (IRB) guidelines

Cost of car when new	Annual prescribed benefit of motorcar	Annual prescribed benefit of petrol
RM	RM	RM
Up to 50,000	1,200	600
50,001 - 75,000	2,400	900
75,001 - 100,000	3,600	1,200
100,001 - 150,000	5,000	1,500
150,001 - 200,000	7,000	1,800
200,001 - 250,000	9,000	2,100
250,001 - 350,000	15,000	2,400
350,001 - 500,000	21,250	2,700
500,001 and above	25,000	3,000

The value of the car benefit equivalent to half of the above rates is taken if the car provided is more than five years old.

- Prescribed value of household furnishings, apparatus and appliances**

Category	Type of Benefit	Annual Prescribed value of BIK provided RM
1	Semi-furnished with furniture in the lounge, dining room or bedroom.	840
2	Semi-furnished with furniture as in Category 1 and one or two of the following: • air-conditioners • curtains and alike • carpets	1,680
3	Fully furnished with benefits as in Category 1 and 2 plus one or more of kitchen equipment, crockery, utensils and appliances.	3,360

Other benefits**RM per month**

Household servant	400
Gardener	300
Driver	600

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- Rates of Capital Allowances**

	Motor Vehicles/ Heavy Machinery	Plant & Machinery (general)	Office Equipment, Furniture & Fittings, Others	Industrial Building
Initial allowance	20%	20%	20%	10%
Annual allowance	20%	14%	10%	3%

- Real property gains tax**

With effect from 1 January 2014 the tax rates that apply depending on the holding period from the date of acquisition of the asset as follows:

Holding Period	Individuals Citizen or Permanent Resident	Non-Citizen or Non-Permanent Resident	Company	Others
Within 3 years	30%	30%	30%	30%
In the 4 th year	20%	30%	20%	20%
In the 5 th year	15%	30%	15%	15%
Beyond 5 years	0%	10%	10%	5%

- Sales and service tax**

	Rate %
Sales tax	10
Service tax	6-8

- Stamp duty**

Rates of duty under the First Schedule

Conveyance, assignment, transfer or absolute bill of sale

	Rate %
Sale of property - from 1.7.2019 onwards	
First RM100,000	1
RM100,001 to RM500,000	2
RM500,001 to RM1,000,000	3
>RM1,000,000	4
Loan agreement	0.5
Transfer of shares or marketable securities	0.3

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